

FEDERAL MARITIME COMMISSION

USL AUTO EXPORTING INC.,	)	
	)	
Complainant,	)	
	)	
vs.	)	DOCKET NO. 23-13
	)	
EASY SHIPPING CORPORATION,	)	
	)	
Respondent.	)	

RESPONDENT’S BRIEF

NOW COMES the Respondent, EASY SHIPPING CORPORATION, by and through their attorney, RAFATI, WARD & ASSOCIATES, P.C., and for their Brief pursuant to the scheduling order entered on March 18, 2024, state as follows:

INTRODUCTION AND FACTUAL BACKGROUND

Respondent, EASY SHIPPING CORPORATION (hereinafter referred to as “Easy Shipping”) is a United States corporation formed in Illinois. Easy Shipping is a licensed non vessel ocean carrier that performs all the services of a carrier and freight forwarder under 46 CFR § 515.11 and 46 CFR §515.21. Complainant, USL AUTO EXPORTING INC. (hereinafter referred to as “USL”) is a North Carolina limited liability company. USL exports vehicles from the United States to other foreign countries. USL is a cargo owner as defined by 46 U.S.C. § 40102(22). On or about April 13, 2023, Khalid Arwini (“Khalid”) sent a request to Easy Shipping to ship four vehicles from Savannah, Georgia to Al Khoms, Libya by sending the request to Easy Shipping via email (See attached Exhibit A). Khalid requested that this shipment be setup with CMA CGM (“CMA”) as the ocean carrier. Easy Shipping began the booking process and began to gather information about the items to be shipped in order to submit this information to CMA. At all times relevant during the booking process, all information and documentation that was tendered to CMA as the ocean carrier was information provided to Easy Shipping by Khalid. Upon receipt of all the relevant information and documentation from Khalid, Easy Shipping secured the booking for Khalid with CMA. Easy Shipping sent Khalid a booking confirmation via email on April 17, 2023. The following day, Khalid

began the process of loading the container under booking number NAM6206412. On or about April 20, 2023, the loader company prepared and loaded the container and provided Easy Shipping with a dock receipt of the booking. The next day, the container was loaded onto the vessel. On May 11, 2023, CMA CGM reached out to Easy Shipping and reported a misdeclaration in the shipping instructions for the cargo. Easy Shipping did not play any role in the transportation of the items, warehousing of the items, loading the items into the container, nor in delivery of the container to the port of loading in Savannah, GA.

On or about May 11, 2023, CMA sent an email to Easy Shipping informing Easy Shipping that one of the items is prohibited from import into the country of Libya. Upon receiving this email, Easy Shipping forwarded the email immediately to Khalid. In response to this email from CMA, which was forwarded to Khalid, Khalid sent Easy Shipping a message stating that this is a mistake, and the actual vehicle is a Toyota 4Runner and gave Easy Shipping a VIN number to this 4Runner which was then given to CMA. Sometime after May 11, 2023, and after Easy Shipping sent the VIN to CMA, CMA sent a second email, but this email was regarding a Yamaha which Khalid had listed as a Yamaha Motorcycle. CMA believed this item may be a Jet Ski or some type of water vehicle which is banned from import into Libya. Easy Shipping forwarded this email to Khalid and in response to this email, Khalid stated to Easy Shipping that “it may look like a jet ski because maybe the wheels are not on it.” Easy Shipping informed CMA of the same. CMA then sent a request to Easy Shipping asking for photographs of Yamaha. Easy Shipping forwarded this request to Khalid, and in response to this request, Khalid sent Easy Shipping two photographs of a Yamaha which were then forwarded to CMA.

In the end of May of 2023, CMA was still verifying and reviewing the booking. CMA informed Easy Shipping that they received the photographs and that after reviewing a decision will be made and CMA will inform Easy Shipping. At this juncture, Khalid was aware of all these developments and was directly giving Easy Shipping all of the information that he asked to be submitted to CMA. Khalid then wanted to bring the container back to Savannah and “fix things” and then resend the items. Khalid hired a third party that handles return shipments and imports into the United States as Easy Shipping does not offer those services, Khalid is aware of this because Khalid has done business with Easy Shipping in the past on several

occasions. Khalid hired a third party to work on getting the cargo back and then began to submit payments to Easy Shipping which were past due, this resulted in a late fee being assessed by CMA in the amount of \$75. Fast forward to July 6, 2023, Khalid seems to have secured the return of the cargo and reached out to Easy Shipping informing them the container is back in Savannah, GA although Easy Shipping had not received any communication from CMA regarding the release and return of the cargo. Approximately 2 months later, in September of 2023, Easy Shipping received an automated email from CMA informing Easy Shipping that the cargo had been returned and released in July of 2023. It is this time period between May of 2023 and September of 2023 that Easy Shipping believes Khalid was contacting and communicating with CMA as if he was Easy Shipping. This was later discovered when Khalid sent an email directly to CMA and when CMA replied to that email, they copied Easy Shipping on it. Upon learning of this and upon realizing that Khalid was submitting false information and impersonating himself as an employee/agent of Easy Shipping, Easy Shipping began to limit their communications and dealings with Khalid. Easy Shipping informed Khalid of the fees that need to be paid and upon Khalid paying the fees, they were immediately sent to CMA. Any payments that were late to CMA or delayed were because Khalid would be late in paying Easy Shipping.

ARGUMENT

Under the statutes governing the industry of shipping and maritime operations, the code assumes that individuals in the industry will operate with honesty. Complainant in this action claims that Respondent operates by violating the code and not implementing a practice this just and reasonable. This argument falls dead in its face as shipping forwarders like the Respondent in this action depend heavily upon the information supplied to them by their customers. Further, in this action, the Respondent was not privy nor apart of the transportation and loading of the cargo onto a container. The Complainant conducted the transportation and loading of the cargo into a container through a third party which the Complainant handled directly with that third party. The Respondent in this case received the dock receipt and relevant information from the Complainant

directly after the cargo was transported and loaded onto a container.

The Respondent also alleges that the Complainant failed to complete the Importer Security Filing (“IFS”) requirements when the shipment was being returned to the United States. Not only is Respondent not responsible for this act, but it is also believed by the Respondent that the Complainant began to communicate with the Ocean Carrier (CMA) directly without the Respondent’s knowledge in order to later allege this specific allegation. It has now become quite apparent and clear to the Respondent that the Complainant has a plan that they try to execute to trap innocent shipping forwarders like the Respondent in this action if their scheme does not go well. The Respondent has submitted many emails, text messages and photographs that clearly show the fraud that was being perpetrated by the Complainant. The evidence submitted within the Proposed Finding of Facts and Appendix of Exhibits clearly tells the story of what took place here. Furthermore, the Complainant has continued to submit to this Honorable Commission false information and statements intentionally. For example, the Complainant is submitting pleading alleging damages that are completely false; the Complainant claims that they lost the cargo and has yet to acknowledge the cargo was returned to them even though in reality the cargo was not lost and they received it back. Even more abrasive is their declaration of the value of the cargo, when the shipment was being organized and the Complainant had to complete the form for US Customs to declare the value of the cargo, they submitted valuations that are extremely less than what they are alleging are the value of the cargo within their pleadings in this action. Another example of Complainants utter disregard for truth and facts, is their allegation that they submitted correct information to the Respondent describing the cargo when it is undisputable from the emails and text messages that the Complainant kept changing the descriptions when the cargo began to be questioned by CMA.

The Respondent was not responsible for the intentional misrepresentations of the

Complainant throughout the booking and shipping process. The pleadings submitted within these proceedings are also false and being submitted with the knowledge of their falsity. It is a pattern of conduct on the part of the Complainant. At a certain point, mainly when the Respondent began to realize they were being given information that was constantly changing and the Respondent learning that the Complainant was communicating with CMA without their knowledge, led the Respondent to have reservations of continued representation and communication with this Complainant. The Respondent is still owed all monies that were due for this shipment, the Respondent mistakenly assumed that the Complainant paid for this shipment although it has yet to be paid. The only payment made by the Complainant for this shipment was the misdeclaration penalty which the Complainant paid directly to CMA to get the cargo shipped back. The standard of just and reasonable practices that this industry operates under is one that assumes that all parties are acting in good faith and honesty. In this action, the Complainant has no regard for any ethics or honesty and has no regard for rules and regulations. This Complainant operates with brazen audacity by constantly giving false information. The Respondent has no protection from individuals and entities like the Complainant in this action other than their defense within these proceedings. The shipment in question here was returned solely due to the misdeclaration and prohibition of the import of Yamaha Jet Ski. It is clear from the evidence that the Complainant knew what they were shipping but lied about it to the Respondent and CMA. Once CMA conducted their inspection, it was clear that this was not a motorcycle which might have “the wheels taken off” as the Complainant stated. The shipment was not returned because of the Toyota it was returned due to the prohibition of the Yamaha.

CONCLUSION

The Complainant’s complaint against Easy Shipping is frivolous and based off false information and fraud. There is no legal basis for any liability to the Respondent nor did the Respondent breach any of

the common protocol and procedures that govern this industry.

WHEREFORE, the Respondent, EASY SHIPPING CORPORATION respectfully asks that this Honorable Commission rule in favor of the Respondent and against the Complainant and award any other relief it deems just and necessary.

Respectfully submitted,

/s/ Fadi Y. Rafati

Respondent's Attorney

Fadi Y. Rafati
Rafati, Ward and Associates, P.C.
15010 S. Ravinia Avenue
Suite 14
Orland Park, Illinois 60462
312-228-6200
fracati@rafatilegal.com